

Professorship of Corporate Law
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Introduction to Business Law

Example Exam I

Summer term 2025



Case Section (70 points in total):

Case – Basic constellation (35 points):

Software producer S-GmbH develops software for the analysis of data. S-GmbH has two managing directors Douglas (D1) and Diana (D2). The articles of association contain the following provision:

"In principle, the managing directors are only authorized to represent the company jointly. One managing director may only represent the company if the legal transaction is necessary and urgent."

D1 suffers from Covid19 and is not reachable, so D2 has to take care of the business by herself. That is when D2 receives a very short-term but lucrative order from a drug manufacturer that needs specialized software due to the Covid19 pandemic. However, S-GmbH's capacities are no longer sufficient to process the order. Thus, D2 sends an email to Rent-Your-Hardware-oHG (R-oHG) in what she requests 100 IT systems for three months (100,000€) in the name of S-GmbH.

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Pierre (P) is an employee of R-oHG and has prokura. However the prokura is limited to legal transactions with private customers. P is therefore not allowed to accept B2B orders. P reads D2's e-mail and replies: "Your order is hereby confirmed."

When the managing directors of R-oHG found out about the rental agreement, they got angry. They actually had different plans with the hardware in order to make more profit. So they inform D2 that the contract is ineffective because P did not have power of representation for this kind of transaction.

Question 1: Does S-GmbH have a claim to be provided with the hardware against R-OHG?

Note: Formulate full sentences and write the solution in the style of a legal opinion.

Case – Modification (35 points):

D2 is very frustrated after her day at work. But her mood quickly lifts when she drives past electronics retailer E's store on her way home. She sees a tablet that she is interested in on display in the window and stops to take a closer look.

Actually, D2 already has a tablet. However her colleagues laugh at her because it is such an outdated model. So she looks for a replacement. D2 tells E this anecdote and asks him for some technical data of the tablet on display. E is quite chaotic and does not remember where he put the packaging from the tablet. Without the packaging, he is not sure whether the device is a Generation 2 model or the newer Generation 3. E definitely does not want D2 to change her mind. So E claims without looking again that it is the newest model (which is not the case).

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D2 says: "If this really is the newest of the new, then I must have this tablet. I can show it off to my colleagues. They will be so jealous!". E answers: "So that means that you buy the tablet for 1,000€?". D2 agrees.

The next day, D2 proudly shows off her new acquisition at work. But her tech-savvy colleagues notice the mistake immediately and again the laughter is great. Finally, her colleagues feel sorry for D2 and enlighten her.

Right after work, D2 goes to E and says, "You lied to me. The tablet is not the latest model at all. Here take it and give me my money back!". E tries to defend himself and claims that it was only an accident and not a bad intention.

Question 2: Did D2 and E conclude a valid purchase agreement?

Note: Formulate full sentences and write the solution in the style of a legal opinion.

Theory Question Section (30 points in total):

■ Question 3 (10 points):

Albert and Berta are a couple that loves gardening. So they decided to run a small gardening business that offers services for private customers such as planting a hedge. Even though business is good, the two of them make a revenue of 60,000 € per year.

Explain which company form is suitable for this enterprise and which is not.

■ Question 4 (3 points):

Name the conditions and consequences of this legal provision?

§ 280 BGB

Damages for breach of duty

(1) ¹ If the debtor breaches a duty arising from the obligation, the creditor may demand damages for the damage caused thereby. ² This does not apply if the debtor is not responsible for the breach of duty.

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- **Question 5 (6 points):**

Explain the federal legislative process in Germany.

- **Question 6 (6 points):**

Explain when impossibility can be given?

- **Question 7 (5 points):**

Explain if and how warranty rights can be excluded?

Note: Theory questions can be answered in conclusive bullet points and/or short sentences. A legal opinion is not required.